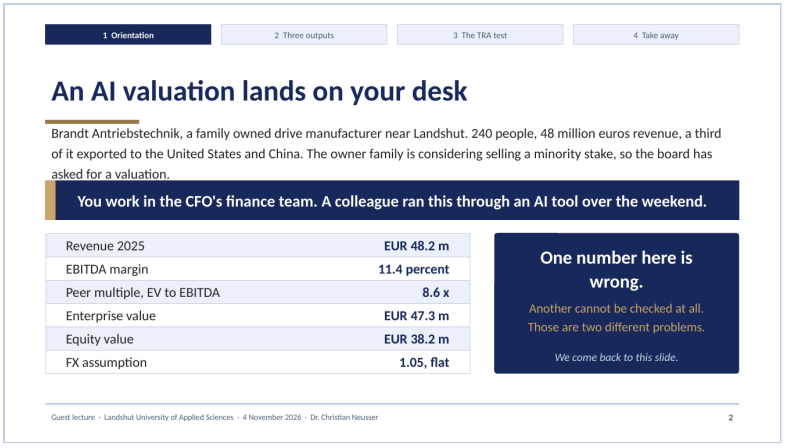


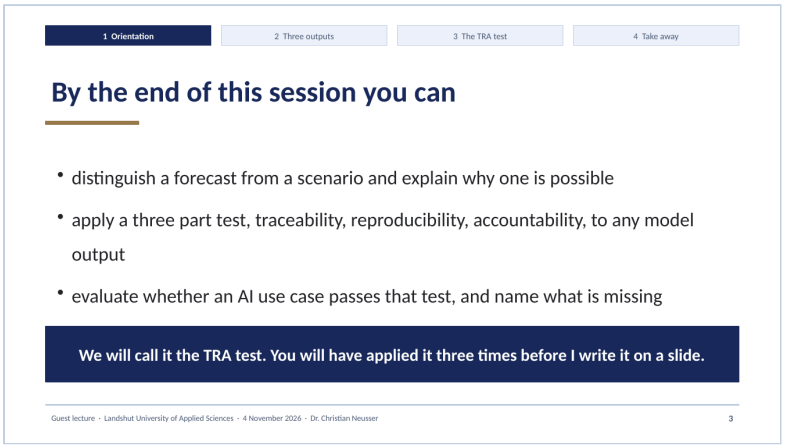
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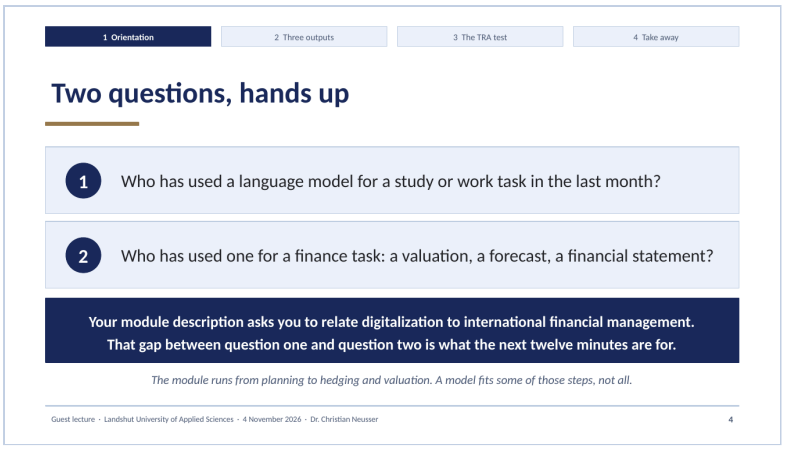
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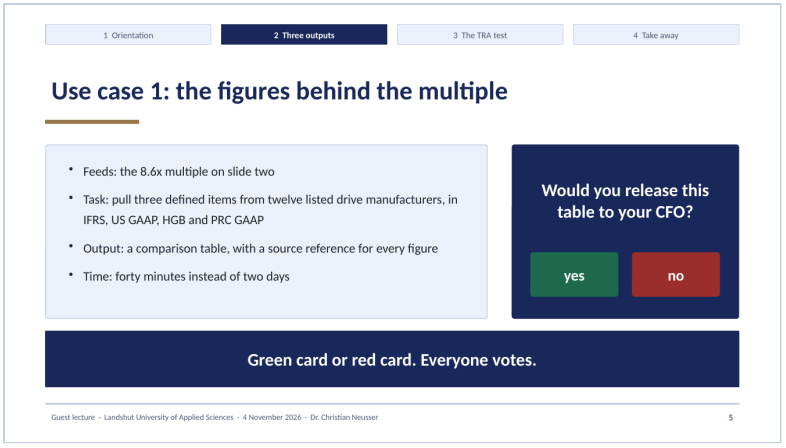
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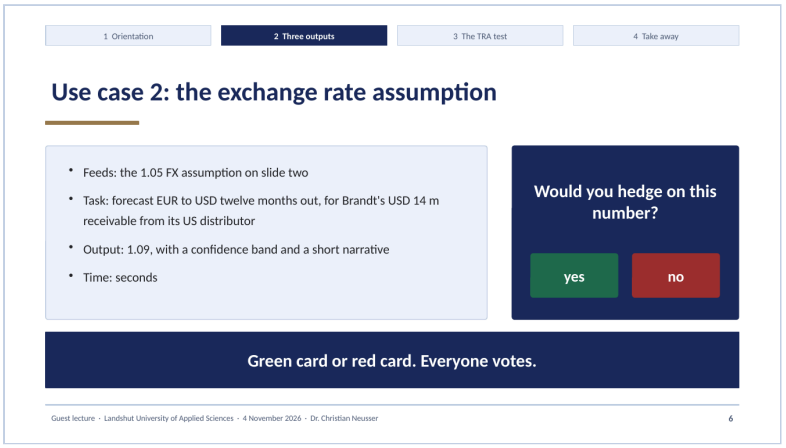
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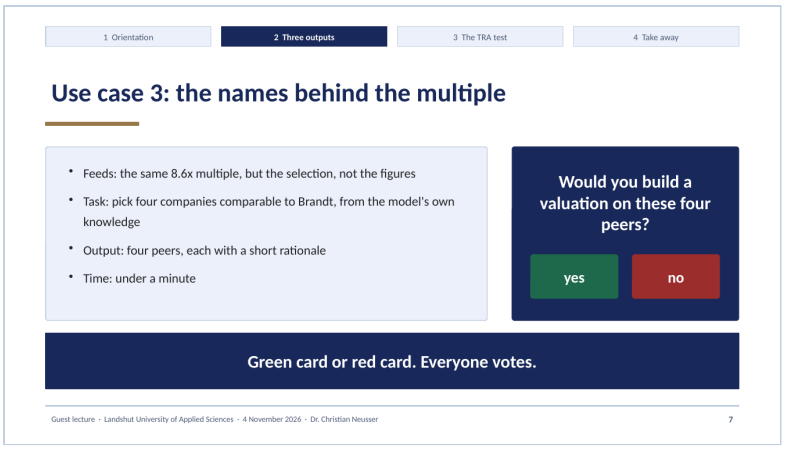
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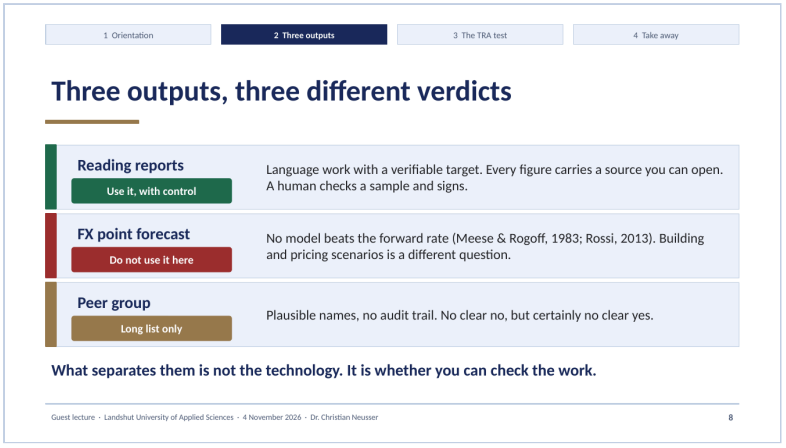
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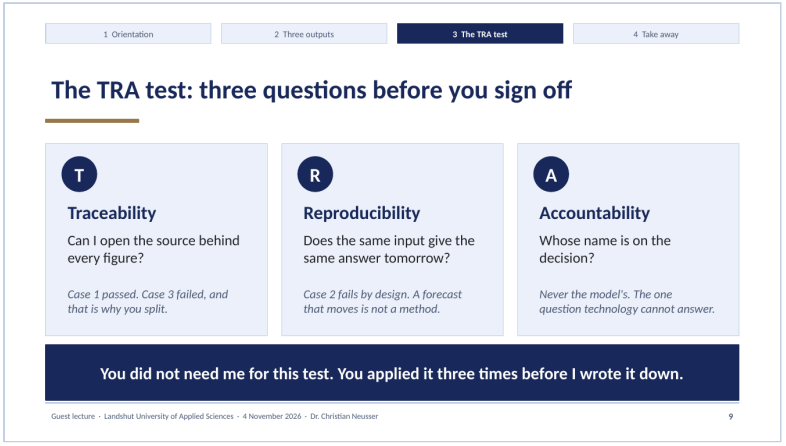
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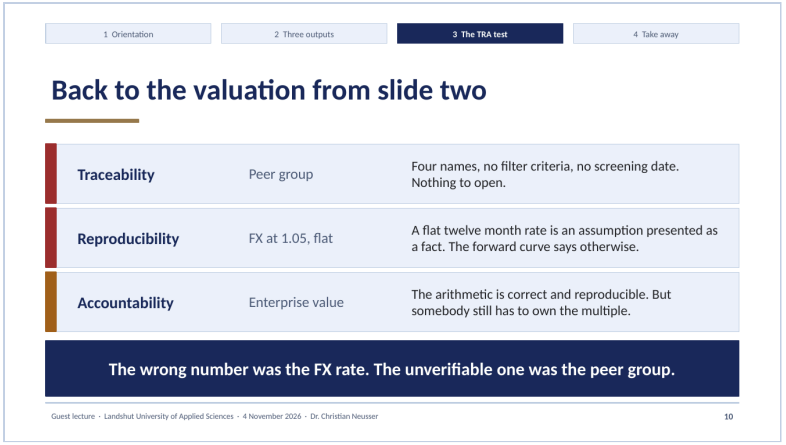
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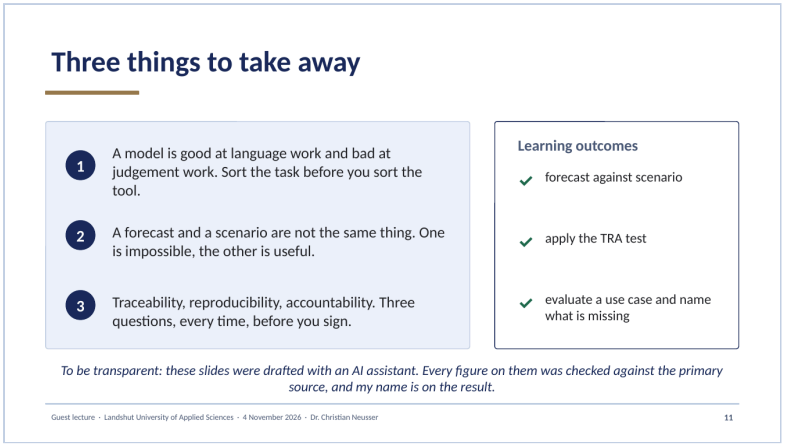
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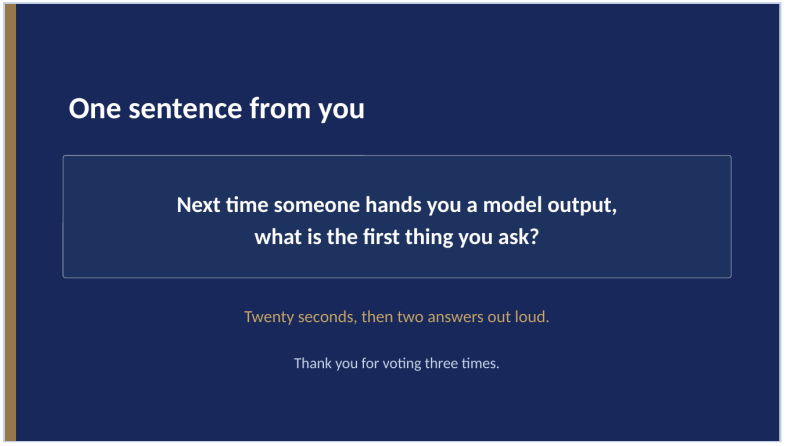
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Your homework and what comes next

One page for your CFO

The valuation goes to the board next week. Pick one of its three critical numbers: the 8.6x multiple, the flat 1.05, or the 47.3 million.

- Apply the TRA test to it in writing
- Say whether you would release it, and under what condition
- Name what you would need in order to check it

Task, glossary, advance organizer and the slides

cneusser.github.io/HS_Landshut

Next in GM 230

- Building and pricing scenarios instead of forecasting
- Hedging under model uncertainty
- Model governance and the limits of the AI Act

Sources used

Meese & Rogoff (1983) · Rossi (2013) · Rudin (2019)
Agrawal, Gans & Goldfarb (2022). Power and Prediction.
Regulation (EU) 2024/1689, Annex III · Fed SR 11-7 (2011)

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APPENDIX A1

Where a model can sit in the finance chain

Step	In the module	A model can
Plan	Budgets and cash forecasts	do language and pattern work
Appraise	Investment appraisal, NPV	generate and price scenarios
Finance	Capital structure, debt	screen documents
Hedge	FX and interest exposure	not predict, this is judgement
Value	Company valuation	search peers, not deliver the verdict

Appendix, not part of the speaking time · Reserve slide for the discussion

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APPENDIX A2

Why cross-border raises the bar

Criterion	What changes across borders
Traceability	Four accounting standards, four definitions of the same line item. A source reference helps only if you know which standard it came from.
Reproducibility	Data vendors restate emerging market figures. The same query in March and in June returns different numbers.
Accountability	Group finance signs, the local entity holds the facts, the auditor sits in a third jurisdiction.

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APPENDIX A3

Where regulation and governance actually bite

Area	Classification	What it means here
Credit scoring of natural persons	High risk, EU AI Act Annex III	Documentation, human oversight, logging
Corporate credit and valuation analysis	Not classified as high risk	The expectation comes from audit and internal control
Model risk management in banks	SR 11-7 (Fed, 2011); EBA guidelines	Development, validation and use are governed separately
Disclosure of AI generated content	Transparency obligations	State what the model produced and what a human checked

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APPENDIX A4

What the model does and does not do

Task	Model today	Why
Extract a defined item from a document	Reliable with a source check	Language work with a verifiable target
Translate a disclosure across standards	Useful draft, needs review	Definitions differ, context is thin
Forecast a market price	No	Efficient prices already contain the information (Fama, 1970)
Build and price scenarios	Yes, and quickly	Arithmetic on stated assumptions
Choose the assumption	No	That is the judgement you are paid for

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APPENDIX A5

Why the data is the harder half

Issue	Example	Consequence
Restatement	Vendors revise prior year figures	The same query returns different numbers
Definition drift	Lease liabilities under IFRS 16 against HGB	Comparisons look valid and are not
Coverage	Thin disclosure in some jurisdictions	The model fills gaps with plausible text
Currency	Average rate against closing rate	Margin differences of several points

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APPENDIX A6

How this would run as a full session

Element	Design
Ninety minute version	Three outputs become three group tasks with the raw documents, each group applies the TRA test
Assessment	Take-home case: a model output plus the instruction to recommend release or rejection, graded on the reasoning
Link to the module	Matches the syllabus item on current topics and the stated digitalization learning outcome
Tooling	Spreadsheet and a general model, no coding, consistent with the module description

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APPENDIX A7

Didactic basis of this session

Principle	How it shows up today	Evidence
AVIVA as the running order	Orient, activate prior knowledge, inform, process, evaluate	Städeli et al. (2010)
Constructive alignment	Outcomes, activity and assessment demand the same performance	Biggs & Tang (2011)
Peer instruction	Vote first, resolve second	Mazur (1997); Crouch & Mazur (2001)
Active processing	Three constructive phases instead of passive reception	Chi & Wylie (2014)
Formative feedback	The distribution of each vote is the feedback	Black & Wiliam (1998)

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APPENDIX A8

The seven requirements behind the three letters

EU Ethics Guidelines for Trustworthy AI (2019)

1. Human agency and oversight
2. Technical robustness and safety
3. Privacy and data governance
4. **Transparency**
5. Diversity, non-discrimination and fairness
6. Societal and environmental well-being
7. **Accountability**

NIST AI RMF 1.0 (2023), trustworthiness characteristics

1. Valid and reliable
2. Safe
3. Secure and resilient
4. **Accountable and transparent**
5. Explainable and interpretable
6. Privacy-enhanced
7. Fair, with harmful bias managed

Highlighted: the three the TRA test compresses. Seven is the canon, three is what fits fifteen minutes.

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APPENDIX A9

Where the TRA test comes from

	Established as	Source
T Traceability	Transparency is one of seven requirements for trustworthy AI, and traceability is named as the mechanism that serves it. In research data management, provenance is a principle in its own right.	EU High-Level Expert Group on AI (2019), Ethics Guidelines for Trustworthy AI Wilkinson et al. (2016), Scientific Data 3:160018, principle R1.2
R Reproducibility	The norm of empirical and computational science, carried over here to model output. It is the least codified of the three in AI regulation, and I say so.	No regulatory source claimed
A Accountability	A named characteristic of trustworthy AI systems. Auditability is its mechanism. In banking supervision: documentation an unfamiliar party can follow, and validation independent of development.	NIST AI Risk Management Framework 1.0 (2023), section 3.4 EU HLEG (2019) Fed/OCC SR 11-7 (2011), Guidance on Model Risk Management

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